Invoicing

FEATURE GUIDE · SALES

This guide covers the **Invoices** module (Sales → Invoices). It uses one small, continuing example: **Harbor & Vine Catering**, owned by Maya Chen, billing her client **Oakline Events**.

> **What is an invoice?**
> An invoice is the formal document you send a client saying "here's what you owe me, and by when." The moment you **send** it, BloomAudit posts a journal entry: it increases **Accounts Receivable** (money owed to you) and increases **Revenue** for each line. The cash hasn't arrived yet, but the income is recorded now — this is standard accrual accounting.

Statuses

Status	Meaning
Draft	Saved, not sent. Client hasn't seen it. No accounting entry yet.
Sent	Emailed to the client. The accounting entry posts at this moment.
Partial	Client has paid some, not all.
Paid	Fully paid. Receivable is cleared.
Overdue	Due date has passed and it's still unpaid.
Void	Cancelled. Reverses the original accounting entry.

Create and send an invoice

Maya catered a corporate event for Oakline Events, total $3,200.

1. Click **Invoices** in the sidebar. Click **New invoice**.
2. Customer: **Oakline Events**. Due date: 30 days from today.
3. Add a line: Description `Corporate event catering — 80 guests`, Amount `$3,200.00`, Account `4100 — Catering Revenue`.
4. Before sending, look at the **GL preview panel** — it shows exactly what will post:

```
DR  Accounts Receivable (1100)   $3,200.00
CR  Catering Revenue (4100)      $3,200.00
```

   This is a live preview — check it before committing to anything.
5. Click **Edit invoice** if anything needs fixing, otherwise click **Send invoice**.

💡 What just happened?

Accounts that moved:

Account	Direction	Amount	Why
Accounts Receivable (1100)	↑ UP	$3,200.00	Oakline Events now owes Maya this money
Catering Revenue (4100)	↑ UP	$3,200.00	Maya earned this by completing the event

Posted entry (matches the GL preview exactly):

	Account	Amount
DR	Accounts Receivable (1100)	$3,200.00
CR	Catering Revenue (4100)	$3,200.00

Updated automatically:

- COA — 1100 increased by $3,200.00 · COA — 4100 increased by $3,200.00
- GL — new entry under both accounts · Status changed to **Sent**

Record a partial payment, then the balance

Oakline Events pays $1,200 now, promising the rest in two weeks.

1. Open the invoice (status **Sent**). Click **Record payment**.
2. Amount `$1,200.00`, Method `Bank Transfer`, Reference `OAK-dep-1`. **Save**.

> Status changes to **Partial**. Outstanding balance shows `$2,000.00`.

3. Two weeks later, click **Record payment** again. Amount `$2,000.00`, Reference `OAK-final`. **Save**.

> Status changes to **Paid**. Outstanding balance: `$0.00`.

💡 What just happened (each payment)?

	Account	Amount
DR	Bank / Cash (1000)	payment amount
CR	Accounts Receivable (1100)	payment amount

Cash increasing is a debit; the client's shrinking debt to Maya is a credit to Accounts Receivable. After both payments, 1100's balance attributable to this invoice is back to $0.00.

Issue a credit note

A second, smaller invoice (INV — $150.00 tasting-session fee) went out to Oakline Events, but Maya agreed to waive $50 of it after the fact.

1. Open that invoice. Click **Issue credit note** (also available as **Issue manual credit**).
2. Amount `$50.00`. Reason: `Goodwill discount — tasting session ran short`. **Save**.

> 💡 **What just happened?**
>
> **In plain English:** A credit note is the mirror image of an invoice — it reduces both the revenue you recorded and what the client owes. You can't delete a sent invoice (that breaks the audit trail), so a credit note is how you correct it after the fact.

	Account	Amount
DR	Catering Revenue (4100)	$50.00
CR	Accounts Receivable (1100)	$50.00

Updated automatically: invoice balance reduced from $150.00 to $100.00.

Void an invoice

A third, throwaway test invoice was created and sent by mistake.

1. Create an invoice: Customer `Oakline Events`, Line `Test — delete me`, Amount `$1.00`. **Save**, then **Send invoice**.
2. Open it. Click **Void invoice**. Confirm.

> **Void is blocked** if the invoice already has payments recorded or a credit note issued against it — those must be reversed first. This test invoice has neither, so the void goes through immediately, posting the exact opposite of the original send entry (DR Revenue / CR Accounts Receivable for $1.00), cancelling it out completely.

Overdue

A fourth invoice, $5,200.00 for a different client's event 45 days ago, was never paid — its due date (15 days ago) has passed.

1. From the invoice list, click **Overdue** — it appears automatically, no manual step required.
2. Click **Aging Report** — see it grouped into the correct age bucket (31–60 days).

Verify it

- [ ] The GL preview panel shown before sending an invoice matches the journal entry actually posted after you click **Send invoice**, line for line.

- [ ] After both partial payments, the invoice shows **Paid** and `$0.00` outstanding — and account **1100 — Accounts Receivable**'s ledger shows the original $3,200 debit followed by two credits ($1,200 and $2,000) that net it to zero for this invoice.
- [ ] The credit-noted invoice's balance reads exactly $100.00 (down from $150.00), and account **4100 — Catering Revenue** reflects the $50 reduction.
- [ ] The voided test invoice shows status **Void**, and account 1100 and 4100 balances are unaffected by it (the void entry cancelled the send entry).
- [ ] The overdue invoice appears under both **Overdue** and the correct bucket in the **Aging Report** without any manual status change.

Permissions used in this guide: `invoices:create`, `invoices:send`, `invoices:record_payment`, `invoices:void`.